

SECOND QUARTER 2017 FINANCIAL RESULTS

August 8, 2017



FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2016, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX

CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

INNOVATIVE, DIVERSE PORTFOLIO SUPPORTS CONSISTENT RESULTS

- Generated 11% operational¹ increase in adjusted net income² on 6% operational¹ growth in revenue for second quarter
- Companion animal business remained largest driver of growth, supported by continued adoption of products like Apoquel, Cytopoint and Simparica
- Livestock portfolio continued to grow based on breadth of solutions and global presence

WELL-POSITIONED FOR LONG TERM PROFITABLE GROWTH

- Increasing full year 2017 guidance at revenue, adjusted net income², and adjusted diluted earnings per share²
- Good runway for future growth based on recently launched products and investments in internal and external innovation
- Increasing cash flow provides flexibility and resources to support key growth opportunities

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted Net Income (non-GAAP financial measure) and adjusted diluted earnings per share are defined as reported U.S. generally accepted accounting principles (GAAP) net income excluding purchase accounting adjustments, acquisition-related costs and certain significant items

GLENN DAVID CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Second Quarter		
	2017*	2016*	Change
Revenue	\$1,269	\$1,208	5%
Reported Net Income	247	224	10%
Reported Diluted Earnings Per Share	\$0.50	\$0.45	11%
Adjusted Net Income ¹	261	246	6%
Adjusted Diluted EPS ¹	\$0.53	\$0.49	8%

* Millions of dollars, except per share data

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Second Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ²
Revenue	\$1,269	\$1,208	5%	(1)%	6%
Adjusted Cost of Sales ¹	437	388	13%	3%	10%
<i>as a percent of revenue</i>	34.4%	32.1%	NA	NA	NA
Adjusted SG&A Expenses ¹	333	331	1%	-	1%
Adjusted R&D Expenses ¹	86	88	(2)%	(1)%	(1)%
Effective Tax Rate on Adjusted Income ¹	28.9%	31.3%	NA	NA	NA
Adjusted Net Income ¹	261	246	6%	(5)%	11%

* Millions of dollars

NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.



US SEGMENT PERFORMANCE

	Second Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Revenue	\$623	\$594	5%	-	5%
Livestock	269	262	3%	-	3%
Companion Animal	354	332	7%	-	7%
Cost of Sales	134	134	-	-	-
Gross Profit	489	460	6%	-	6%
<i>Gross Margin</i>	78.5%	77.4%	NA	-	NA
Operating Expenses	113	100	13%	-	13%
Other (Income)/Deductions	-	-	-	-	-
Earnings ²	376	360	4%	-	4%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL SEGMENT PERFORMANCE

	Second Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Revenue	\$634	\$602	5%	(2)%	7%
Livestock	420	411	2%	(1)%	3%
Companion Animal	214	191	12%	(3)%	15%
Cost of Sales	219	201	9%	1%	8%
Gross Profit	415	401	3%	(3)%	6%
<i>Gross Margin</i>	65.5%	66.6%	NA	NA	NA
Operating Expenses	126	124	2%	(1)%	3%
Other (Income)/Deductions	2	1	**	**	**
Earnings ²	287	276	4%	(3)%	7%

* Millions of dollars, NA – Not applicable, ** Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL MARKET REVENUE

	Second Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Total International	\$634	\$602	5%	(2)%	7%
Australia	43	42	2%	2%	-
Brazil	73	60	22%	14%	8%
Canada	49	48	2%	(3)%	5%
China	45	42	7%	(7)%	14%
France	26	25	4%	(2)%	6%
Germany	33	32	3%	(5)%	8%
Italy	21	22	(5)%	(6)%	1%
Japan	36	31	16%	(1)%	17%
Mexico	21	20	5%	(10)%	15%
Spain	23	23	-	(4)%	4%
United Kingdom	26	27	(4)%	(16)%	12%
Other Developed	76	75	1%	(1)%	2%
Other Emerging	162	155	5%	(1)%	6%

* Millions of dollars

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	2017
Revenue	\$5,150 to \$5,250
<i>Operational growth¹</i>	5.5% to 7.5%
Adjusted cost of sales as a percentage of revenue ²	Approximately 33%
Adjusted SG&A expenses ²	\$1,285 to \$1,325
Adjusted R&D expenses ²	\$365 to \$385
Adjusted interest expense and other (income) / deductions ²	Approximately \$160
Adjusted EBIT margin ²	34% to 35%
Effective tax rate on adjusted income ²	Approximately 29%
Adjusted diluted EPS ²	\$2.30 to \$2.37
Adjusted net income ²	\$1,140 to 1,175
<i>Operational growth^{1,3}</i>	17% to 20%
Certain significant items ⁴ and acquisition-related costs	\$30 to \$50
Reported diluted EPS	\$2.12 to \$2.21

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted SG&A expenses, adjusted R&D expenses, adjusted interest expense, and adjusted other (income)/deductions are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Adjusted Earnings before Interest and Taxes (EBIT) is defined as Reported EBIT excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Reported EBIT excludes interest expense net of capitalized interest, interest income and adjusted income taxes.

³We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP Reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impact of these items are uncertain, depend on various factors, and could have a material impact on GAAP Reported results for the guidance period.

⁴Primarily includes certain nonrecurring costs related to restructuring, net gains/losses on sales of assets, and other charges for the operational efficiency initiative and supply network strategy

ONE TIME COSTS 2015 - 2017

Pre-tax Charges¹ (millions of dollars)	2015 - 2017
Stand-up costs, acquisition-related costs and other ²	\$290
Operational efficiency initiative	\$305 to \$315
Supply network strategy	\$45 to \$55
Certain significant items and acquisition-related costs	\$640 to \$660

¹Excludes non-cash charges of \$57 million in 2015 and \$8 million in 2016

²Includes charges of \$93 million in 2015 for revaluation of Venezuela bolivar-denominated assets and liabilities

Q&A

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